reassurance you get, the truth is that any cash you have in your accounts is likely to either disappear or be locked up in limbo for years if your broker suddenly goes belly up, whereas security holdings such as government debt should be returned to you intact.

Higher Volatility in Drawdown Mode

A factor that is easy to forget is that your volatility will be significantly higher whenever you are in a drawdown. When you are having a good year and making good money and new highs, your overall performance moves slower than when you just had a bad period. This may sound a bit odd, but take a moment to think about it. The reason for the slower moves in good times has nothing to do with market climate or the strategy as such and this phenomenon is true for practically all hedge funds, managed accounts, and similar structures as long as they charge a performance fee.

When your current result is better than at the last time the performance fee was settled, part of your profits will be offset to account for the accrued performance fee. The money is not physically removed from your account but the accrued liability will be accounted for in the performance calculations. If you charge 15% performance fee on a managed account or fund and you gain 10% from the recent highs, your track record will reflect a gain of only 8.5%. On the other hand, if you are in a profit since the last performance fee settlement and you suffer a loss, the same percentage of the loss will be absorbed by the decrease in the performance fee liability.

Performance fee therefore works as a stabiliser, dampening both the positive and negative moves in the fund or account as long as you hold a profit since the last high-water mark. On the flipside of that, your volatility is higher as a result when you are in a drawdown since there is no performance fee stabiliser any more. This can work in your favour, helping you regain the old high-water mark quicker, but it can, of course, also accelerate steep losses if you are not careful.